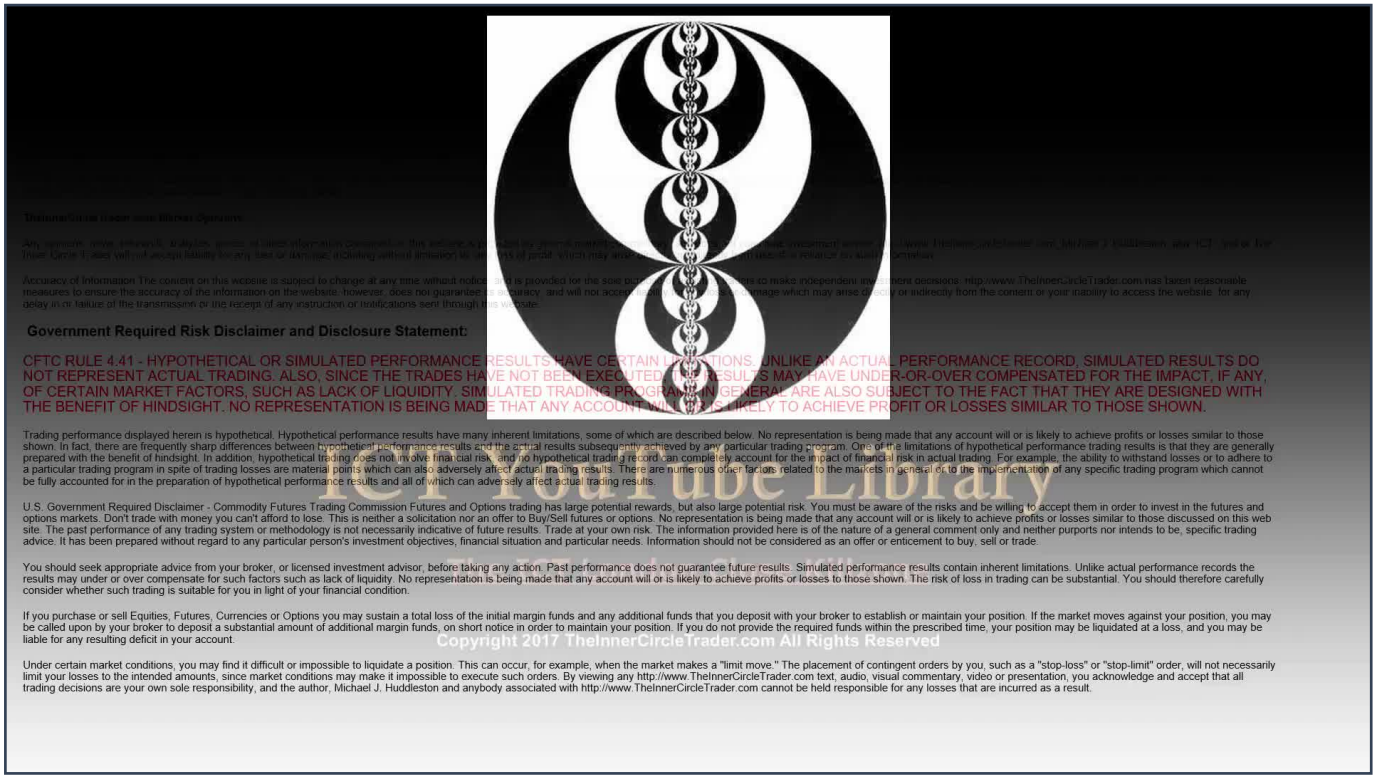
ICT MENTORSHIP CORE CONTENT

ICT FOREX - THE ICT LONDON CLOSE KILLZONE



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This teaching will be specifically dealing with the ICT London Close Killzone. ICT concepts, many years in his module: the importance of time and price alone. Then close the London Close Killzone.

The London Close is a particular time of day that usually ends the opposite end of the daily range. Major pairs usually coupled with the dollar are ideal for this time of day. The London Close frequently sets up an optimal trade entry pattern that can offer 10 to 20 pips for a scalp. The key times to monitor are 10 a.m. to noon New York time. This is the ICT London Close Killzone.

EXAMPLE: DOLLAR CAD - LONDON CLOSE AS DAILY HIGH

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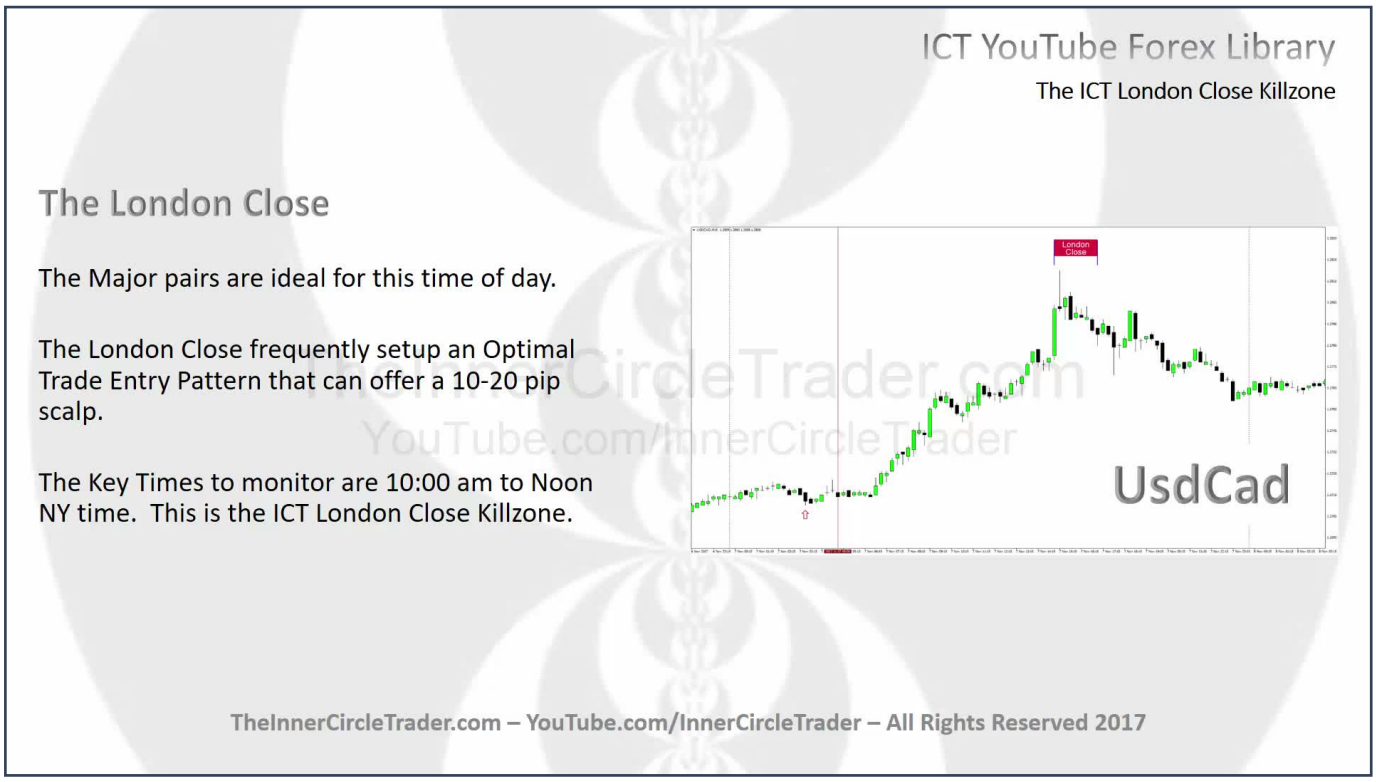

On the chart on the right, this is a Dollar CAD chart. At the beginning of the day we had consolidation, but in that consolidation during the Asian market, we create the low of the day. Then after midnight New York time, the market rallies one-sided all the way up into the time window that's delineated between 10 a.m. and noon New York time. This is the London Close Killzone. You see the daily high performed exactly within that little window of time and then price subsequently traded lower into the close.

EXAMPLE: EURO DOLLAR - LONDON CLOSE AS DAILY LOW

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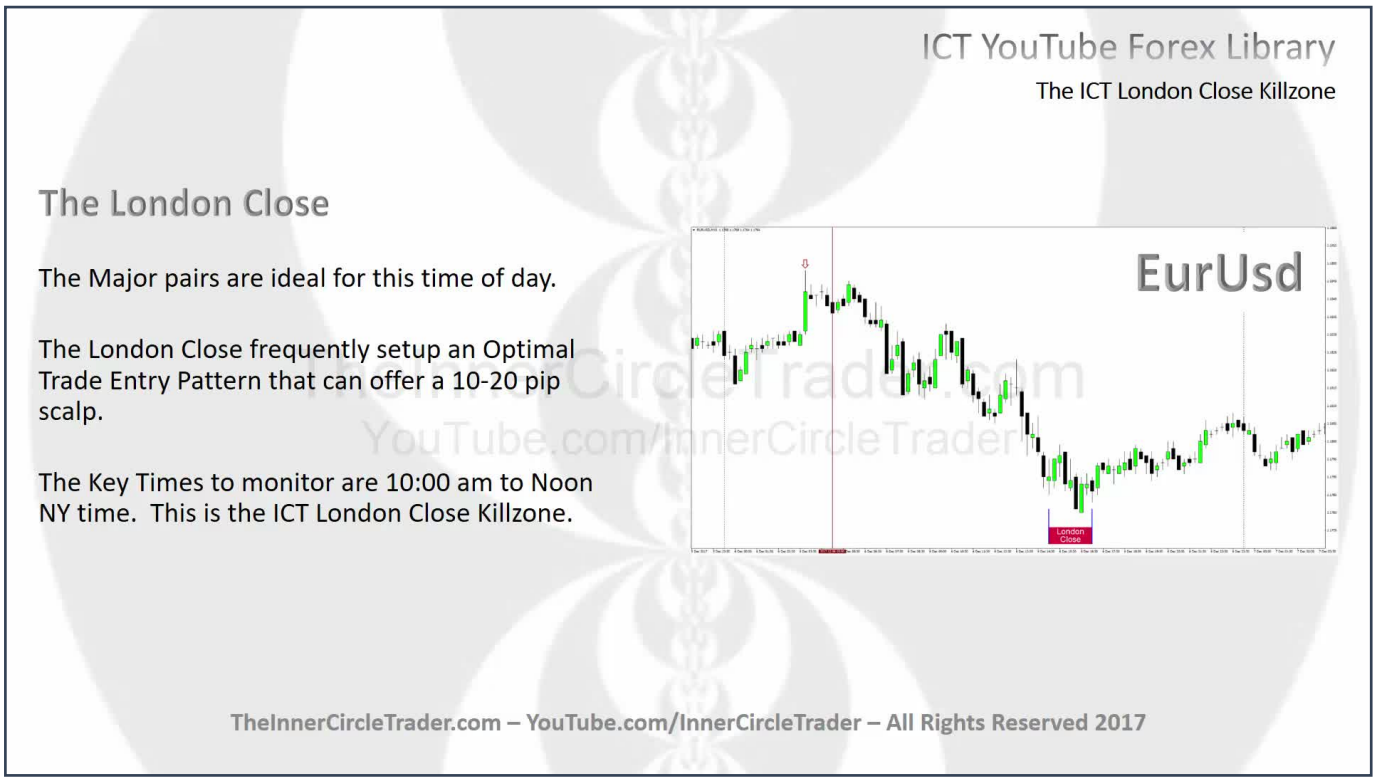
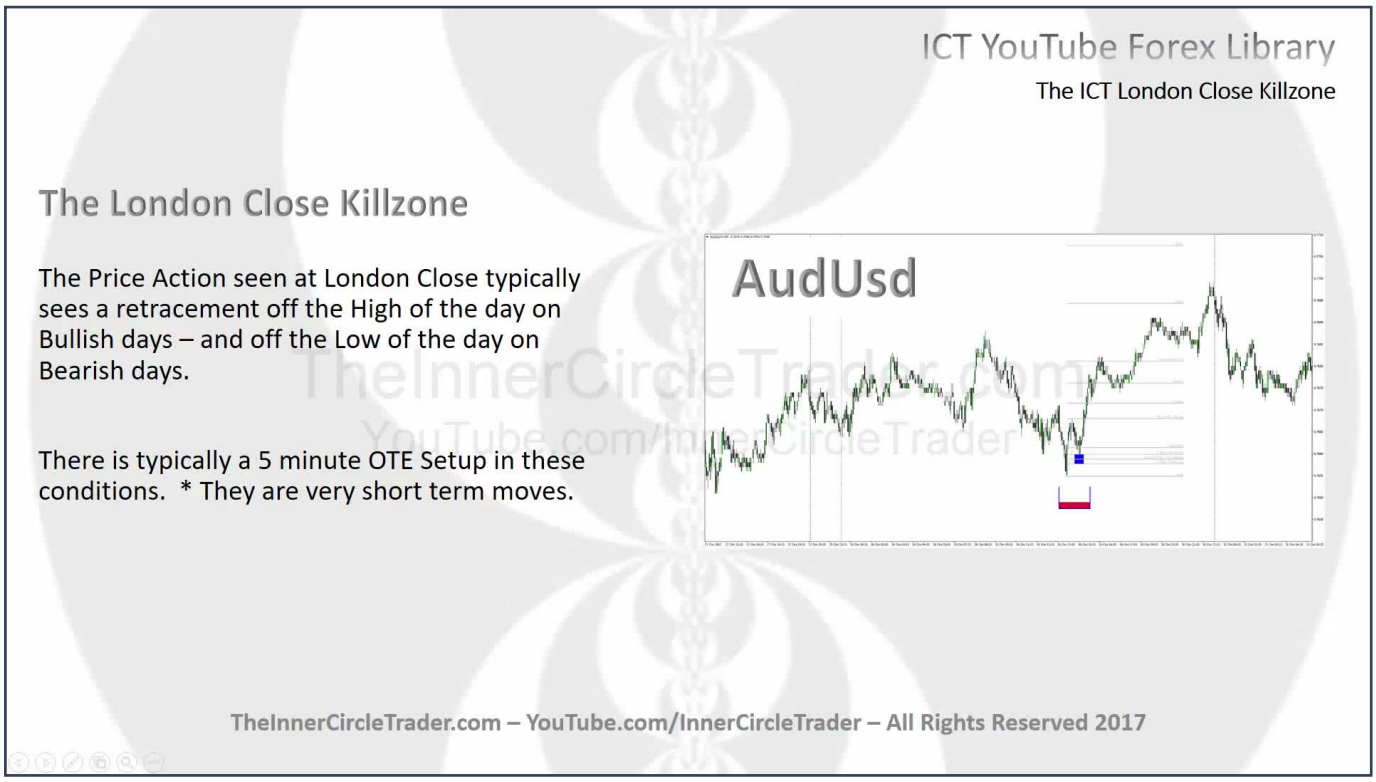


Another example here, this is the Euro Dollar, just to show you how the London Close encapsulates the daily range. We have the Asian range in here, the high created during the Asian market actually treated this pair. This is a very similar chart we've used in this series so far, but the high forms in Asia. Then after New York midnight time we had a high form again in London high, New York session high, and then the low of the day forms exactly at the parameters between 10 a.m. and noon New York time. This is the ICT London Close Killzone. Market trades higher off that window of time and then goes into the close.



If we study this portion of the day, the price action seen at London Close typically sees a retracement off the high of the day on bullish days and off the low on the day that is seen bearish days. There's typically a five-minute optimal trade entry setup in these conditions. But they're very important to remember this, they're very, very short-term in nature, so the moves aren't a lot. They're not like the equivalent of like a London Open or a New York Open. It's typically going to be very small, short-term: 10, 15, maybe even 20 pips. If you get anything more than 20 pips, it's going to be a rarity for that to occur.

EXAMPLE: AUSSIE DOLLAR - OTE LONG AND DAILY RANGE

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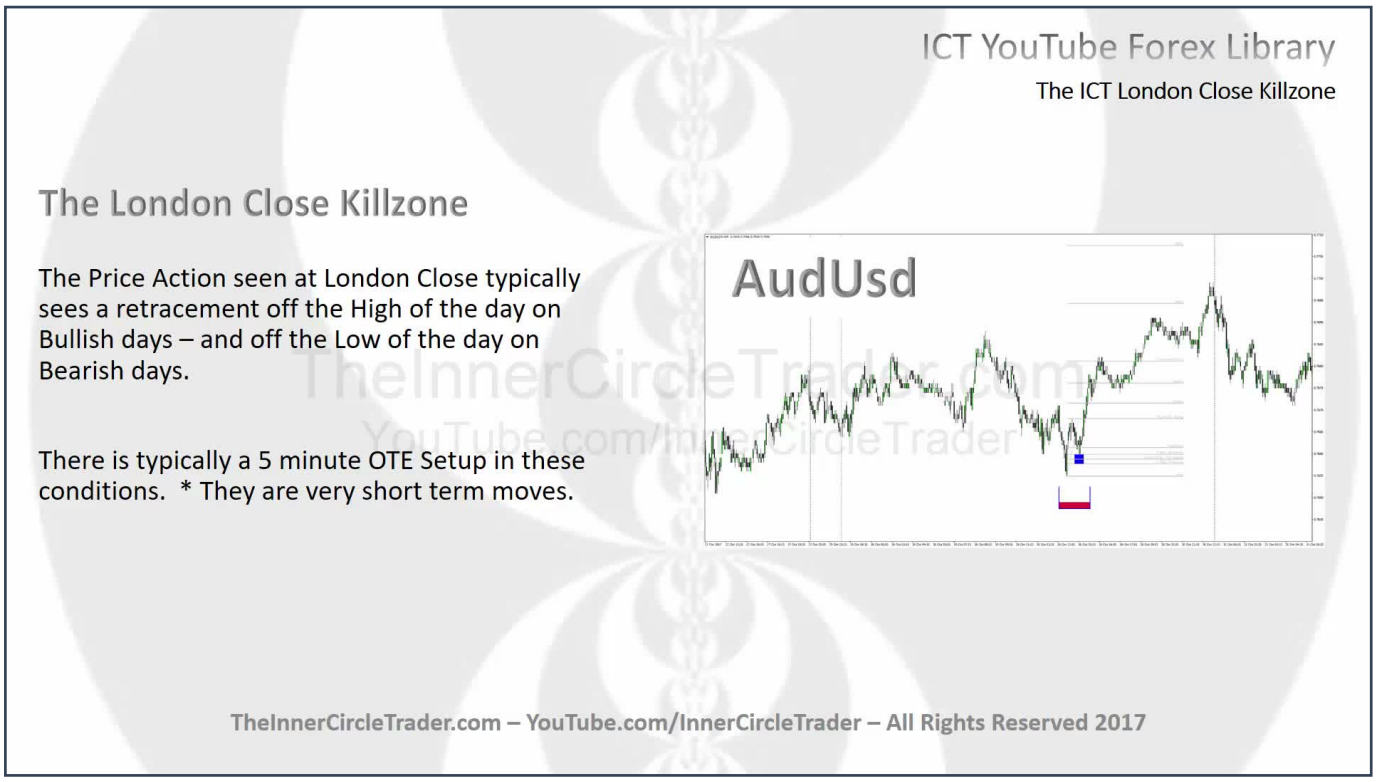
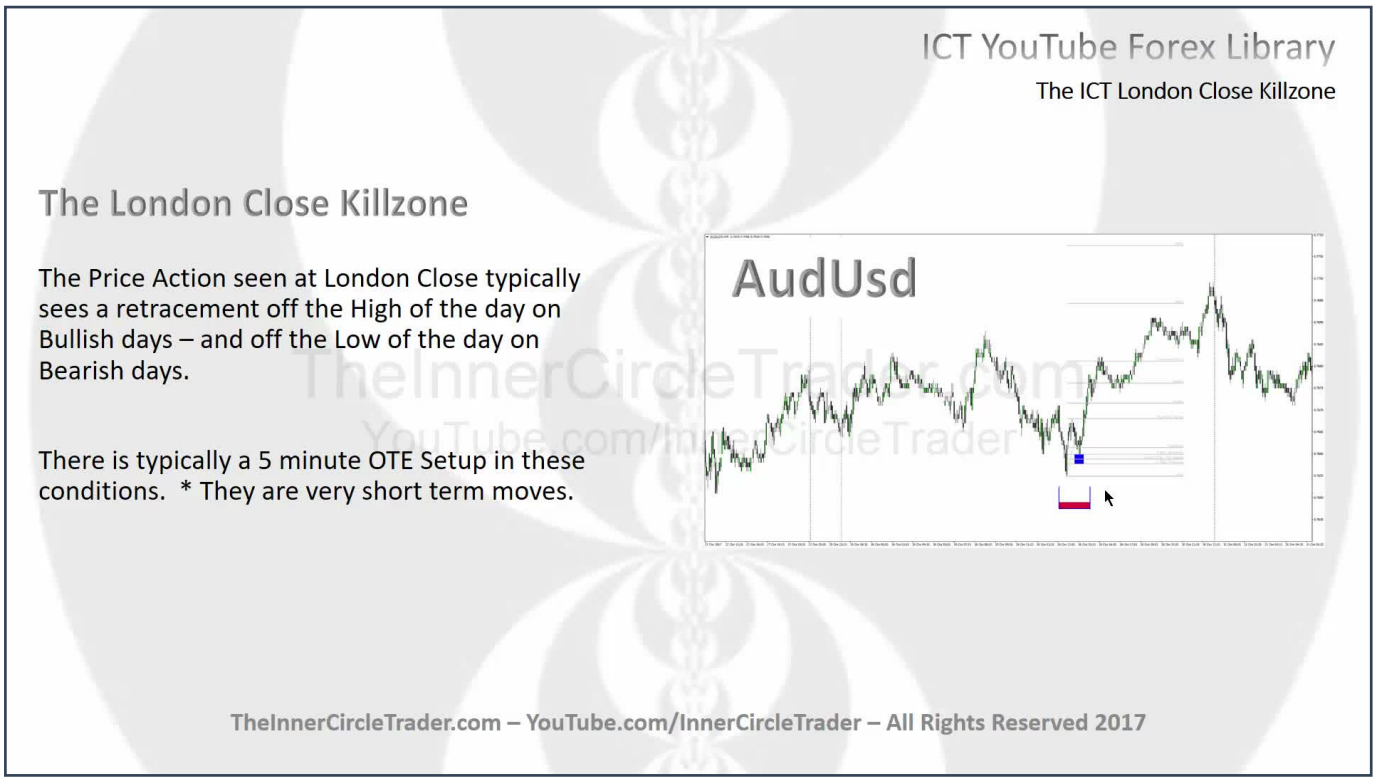
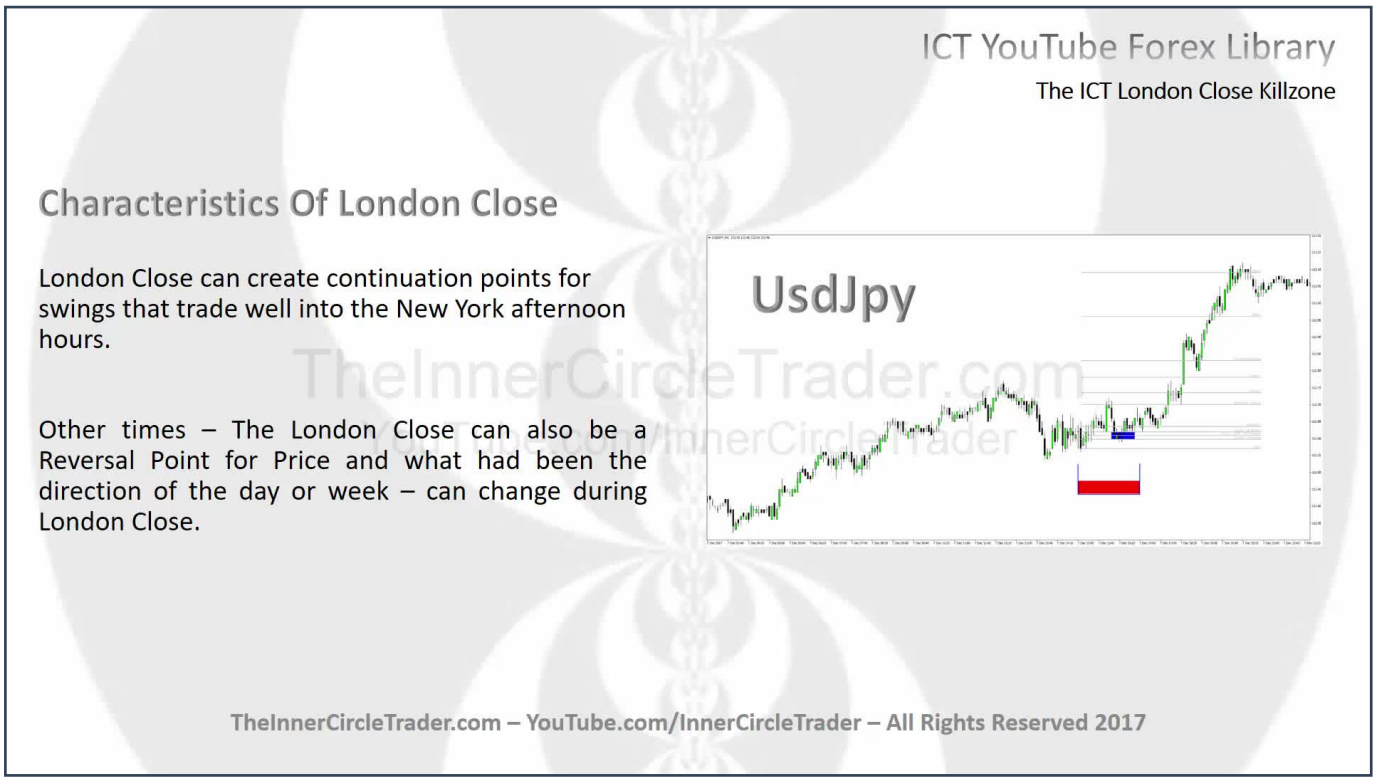


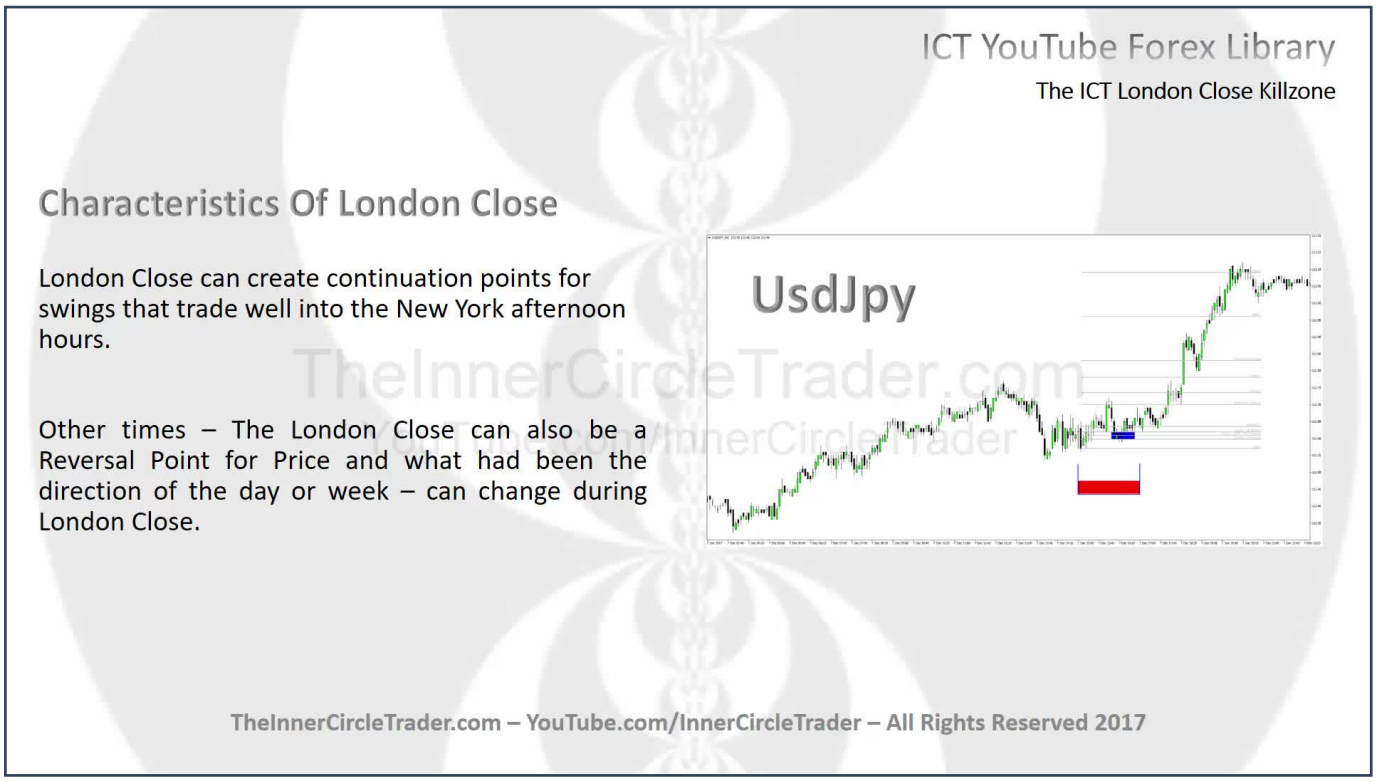
You can see as an example here, the Aussie Dollar. We have the ICT London Close Killzone in here and the market creates the low of the day as we would expect. Then it gives us an optimal trade entry long and trades higher. Now this gives us a rather easy 20 pips in here on this particular day. They won't always look like this, but it's important to see how the daily range is encapsulated. The highs or lows generally formed between 10 o'clock and noon New York time.



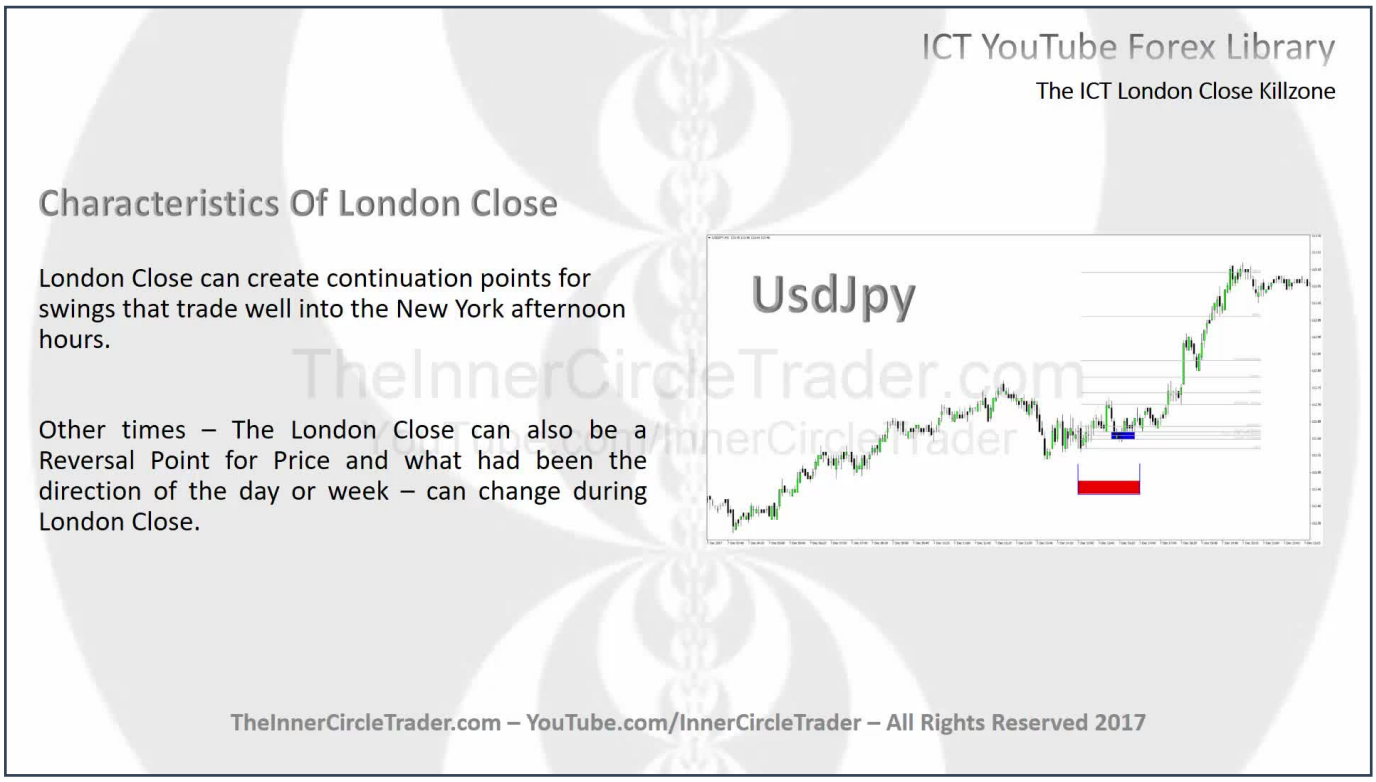
For the sake of note-taking and completeness, if we're bullish and the daily close is going to be high relative to its opening, in other words it's an up close day, the London Close is going to be typically when the high today is formed between 10 o'clock and noon. Now there will be times when that isn't the case, but for now if you use this general rule of thumb, it's going to serve you well.



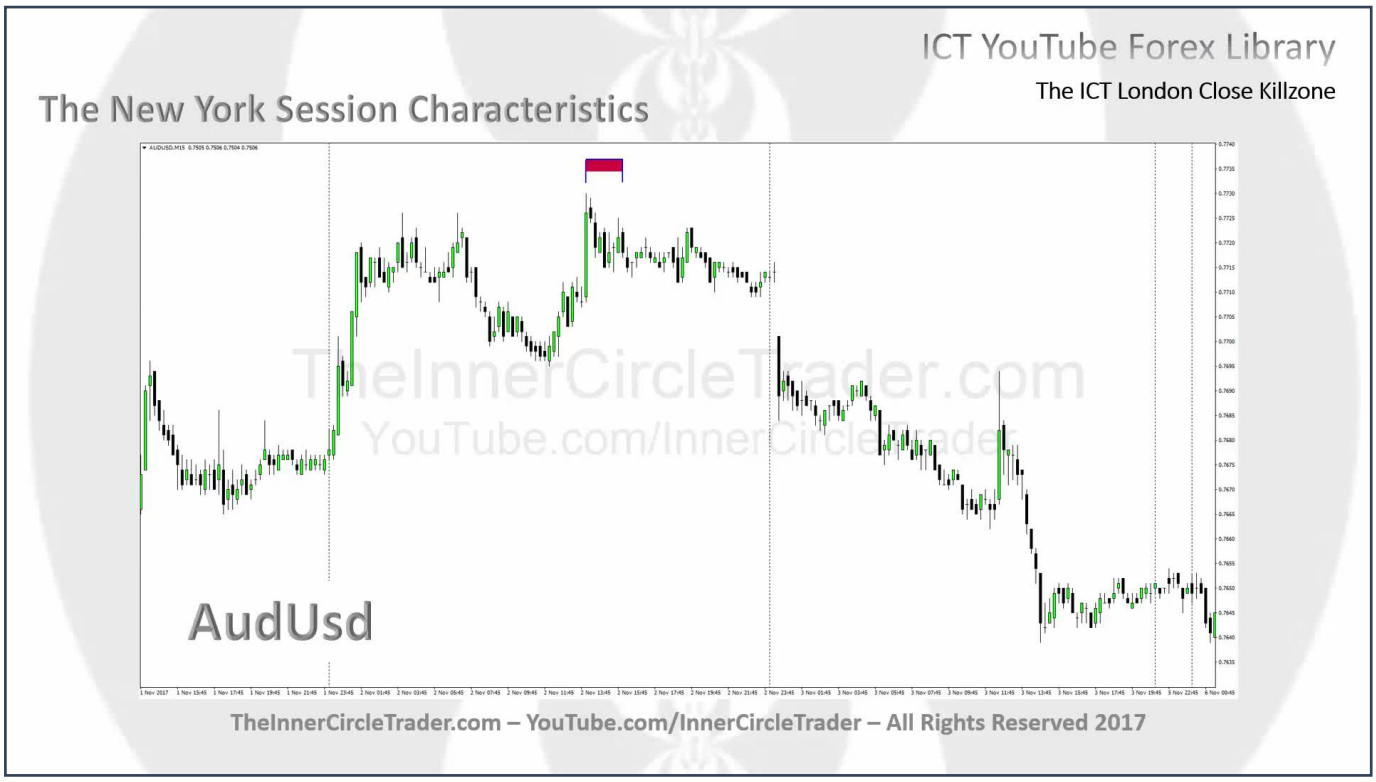
The London Close can create continuation points for swings that trade well into New York afternoon hours. That means if we're bullish overall in the day instead of creating the high of the day in bullish markets or bullish days, many times the London Close connects to create a continuation pattern, as seen in this example here on the Dollar Yen. The market had traded higher initially during the day and then we have a consolidation. But inside the consolidation we had an optimal trade entry here. This is going to be on a 5-minute basis. Whenever we're studying the London Close, you have to be looking at it from a 5-minute; anything higher than that you're not going to get the detail you need.



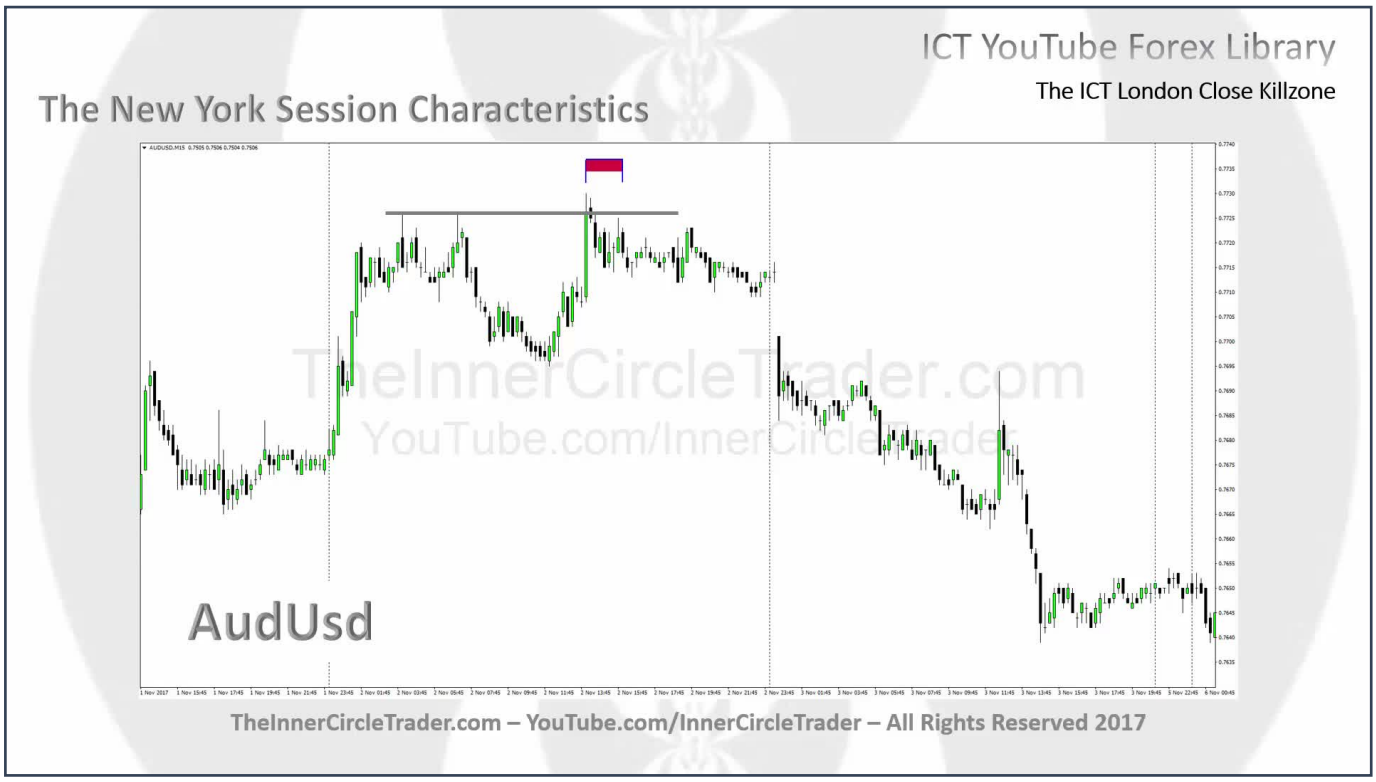
An optimal trade entry long in here, it creates the continuation of the overall trend and a nice extrapolated move all the way up to 300 extension. What had been the direction of the day or week can change during the London Close.



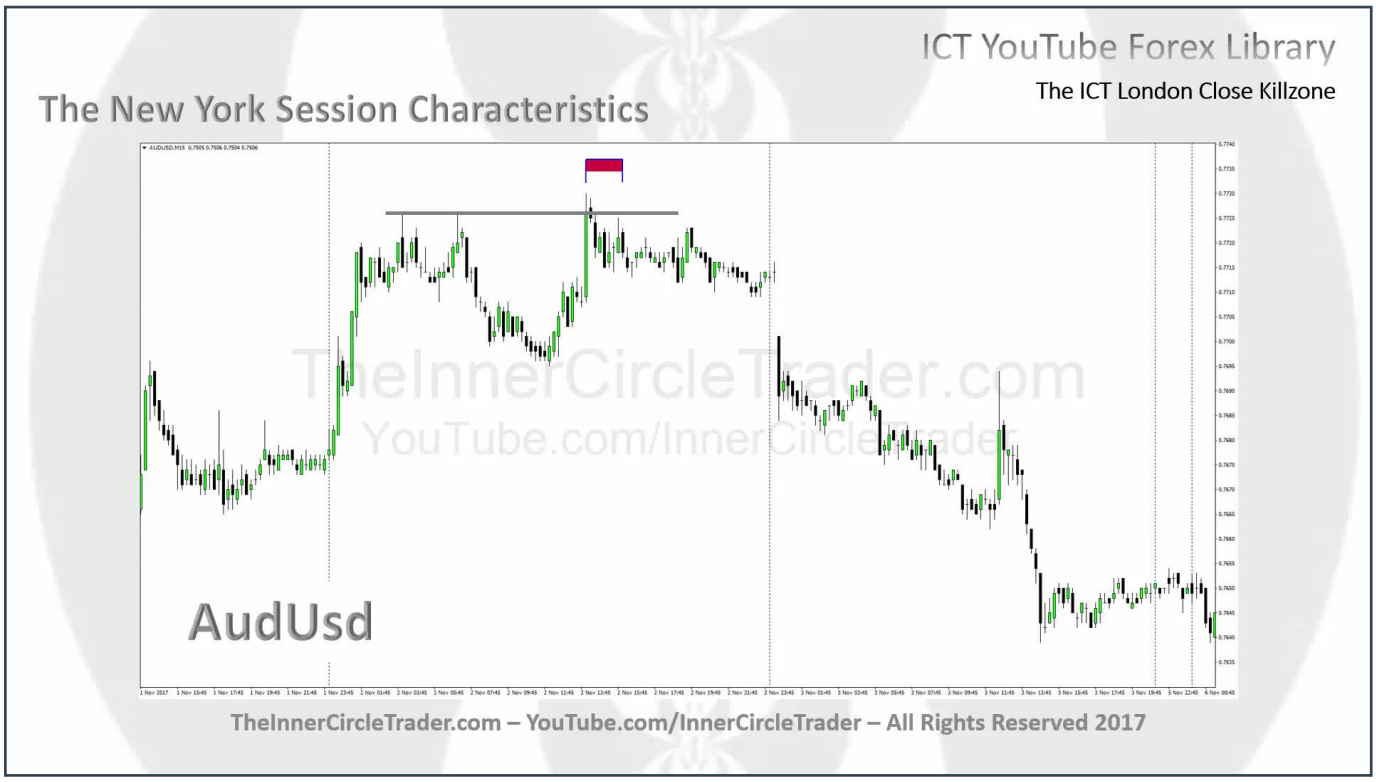
Let's take a look at an example here. You can see in this Aussie Dollar chart, we can see that a very phenomenon takes place. Let's zoom in and take a closer look at what's being shown here. This is a New York and London Close overlap. There's characteristics that's important for New York session. Typically what you'll see is the continuation of what's seen in London overnight. That would be if we're bullish in London, we would expect to see New York continuing to move foolishly as well, and then London Close will be the high of the day. If we're bearish and we've seen London bearish then New York bearish, we're really looking for London Close to be the low of the day, okay, between 10 o'clock and noon, we're expect to see the low of the day form.



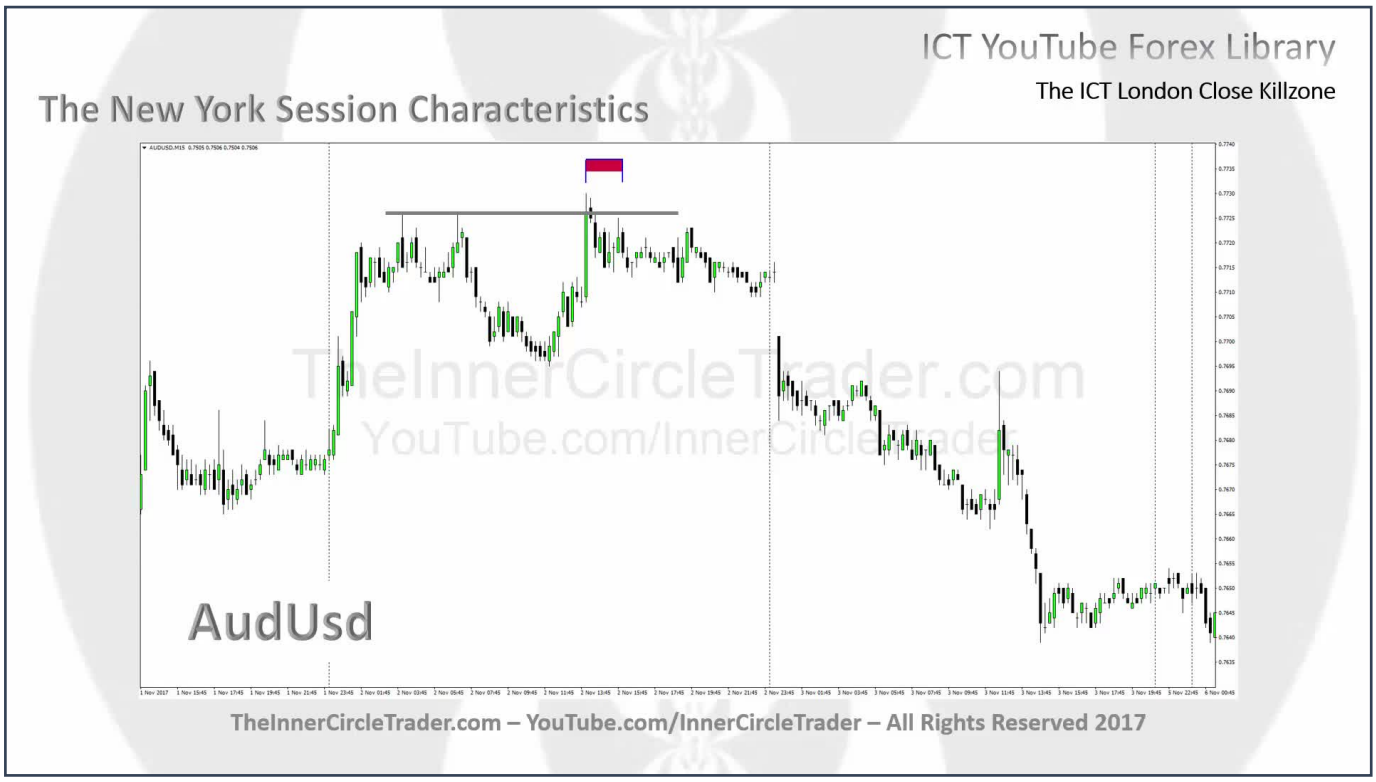
If there are times when the market creates a price inside liquidity pool like this, you can clearly see what I'm going to reference here, but it's the double top right in here. And we can see how London Close this particular day creates the high of the day but also forms a reversal point for the rest of that day. And the next day we see price move rather aggressively lower.



If we look at all these characteristics as a whole, okay, I started with the intraday even though some of you may not be interested in day trading because of your life circumstances or you just don't have an appetite for doing it, it's beneficial to understand the engineering of how price moves from the short-term and then we can work from that price point higher into higher time frames. It's important to know these things for entries, it's important to know these things for managing positions because the characteristics that have been shown in the tutorials that I've done thus far, they may seem rather simplistic, they may be rather short in duration, you're used to very long videos from me, but the insights I've given you are very concise, they're very generic, but don't let that simplicity and short-term delivery and presentation fool you. There's a lot of insight that's been shown. I've given you the DNA, if you will, of how a daily bar or candle is formed on bullish and bearish days.



The times you're going to be unfruitful using this information is when we have a Z-day where it goes up and down in quiet consolidation, or a Seek and Destroy day which is a really wild, choppy up-and-down day where it doesn't really go anywhere until the last portion of the day and then it runs out the stops and no one saw it coming. So if you accept the fact that you're going to have days where you're going to see a scenario that may form and you may believe it's a scenario that may warrant an entry on your demo account, it may not come to fruition if you study the things I've given you thus far.



We went through the Asian session, the London session, the New York session, and now we've completed the daily range with the London Close Killzone. So we have everything at our disposal in terms of defining the daily range. Now that does not mean daily bias, it does not mean long-term direction, it just means that we have been able to define the four reference points that make up Power of Three: the open, the high, the low, and the close. And what those three phenomena take place inside of those four price points, which is the accumulation, manipulation, and distribution.